



CHAPTER 69.

An Act to make further and better provision with respect to the payment of superannuation allowances and gratuities by local authorities and certain statutory undertakers in Scotland, and with respect to the persons entitled to participate in the benefits of a local authority's superannuation fund or scheme, and for purposes connected with the matters aforesaid. [30th July 1937.] A.D. 1937.

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

PART I.

SUPERANNUATION OF EMPLOYEES OF LOCAL AUTHORITIES NOT BEING LOCAL ACT AUTHORITIES.

Superannuation Funds and contributors thereto.

1.—(1) As from the appointed day, a superannuation fund shall, subject to the provisions of this section, be maintained for the purposes of this Part of this Act by each of the following bodies, that is to say :— Superannuation funds.

- (a) the council of any county or large burgh and any joint county council who have on the day six months before the appointed day fifty or

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—*cont.*

more employees who, according to a return made by the council of the county or large burgh, or the joint county council, as the case may be, to the Secretary of State for the purposes of this subsection, will be contributory employees for the purposes of this Part of this Act;

- (b) every joint committee established by an amalgamation scheme for the time being in force; and
- (c) every joint committee established by a combination scheme for the time being in force.

(2) The preceding subsection shall not apply to any local authority specified therein who—

- (a) not having adopted the Act of 1922, maintain a superannuation fund under a local Act; or
- (b) were immediately before the appointed day a party (otherwise than in the capacity of an admitting authority) to an admission agreement; or
- (c) are a constituent authority under an amalgamation scheme;

and shall cease to apply to any local authority specified therein who become a constituent authority under a combination scheme, or who, under subsection (3) of section four of this Act, transfer their superannuation fund in accordance with directions of the Secretary of State to another authority.

(3) Every council of a county or large burgh or joint county council not being a council to which paragraph (a) of subsection (1) of this section applies shall jointly in the case of such a council of a large burgh with the council of the county in which the large burgh is situated, and in the case of such a council of a county or of such a joint county council with the councils of one or more counties, make and submit to the Secretary of State a scheme (in this Act referred to as an "amalgamation scheme") for the purpose of maintaining a joint superannuation fund.

(4) The following provisions shall have effect with A.D. 1937.
regard to amalgamation schemes :—

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- (a) an amalgamation scheme shall provide for the administration of the fund by a joint committee and for making any modifications in this Part of this Act which appear to the constituent authorities to be necessary or expedient for the purpose of applying this Part of this Act to an amalgamation of authorities, and may contain such supplemental and consequential provisions as appear to them to be necessary or expedient;
- (b) subsection (4) of section thirty-one of this Act shall in its application to an amalgamation scheme have effect as if for the words “ within “ six months from the time when the requirement takes effect ” there were substituted the words “ by a date not later than three months before the appointed day ”;
- (c) an amalgamation scheme may be revoked by a resolution passed by the joint committee concerned and approved by the Secretary of State after consultation with the constituent authorities, and the Secretary of State may give all such directions as he deems necessary for the purpose of enabling any of the constituent authorities to become an administrative authority or to enter into any other amalgamation and for the transfer of the joint fund and the liabilities thereof, and with respect to other consequential matters.

(5) For the purpose of subsection (1) of this section, the employees of the council of a small burgh or of a district council who will be contributory employees for the purposes of this Part of this Act shall be counted as employees of the council of the county within which the small burgh or district is situated, who will be contributory employees for the purposes of this Part of this Act, and shall be included in any return required to be made by such county council to the Secretary of State under that subsection, and the council of a small burgh or the district council shall furnish to such county council such information as may be necessary for the purpose of enabling them to make such return.

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(6) In this Act—

- (a) a body which is for the time being required to maintain a superannuation fund under this Part of this Act is referred to as an “administering authority”;
- (b) a council mentioned in Part I of the First Schedule to this Act who, not having adopted the Act of 1922, maintain a superannuation fund under a local Act are referred to as a “local Act authority”, and the superannuation scheme which they administer is referred to as a “local Act scheme”;
- (c) the authority or other body in whose service a contributory employee is, are, in relation to him, referred to as the “employing authority”; and
- (d) the superannuation fund maintained under this Part of this Act in the benefits of which a contributory employee is entitled to participate is, in relation to him and to the employing authority referred to as “the appropriate superannuation fund,” and, in relation to him and to the employing authority and to that fund the local authority maintaining the fund are referred to as “the appropriate administering authority.”

Combina-
tion
schemes.

2.—(1) Any two or more administering authorities may enter into combination for the purpose of maintaining a joint superannuation fund under this Part of this Act in accordance with the terms of a combination scheme made by them.

(2) A combination scheme shall provide for the administration of the fund by a joint committee, and shall contain such supplemental and consequential provisions as appear to the constituent authorities to be necessary or expedient for the purpose of applying the provisions of this Act to a combination of authorities.

(3) Any joint committee established by a combination scheme under section five of the Act of 1922, being a combination scheme all the parties to which are councils of counties or large burghs, shall, not less than twelve months before the appointed day, submit to the Secretary of State either a new combination scheme to take effect in

lieu of the existing scheme or a scheme for making such modifications in the combination scheme as appear to them to be necessary for bringing it into accordance with the provisions of this Part of this Act and continuing it in force as a scheme made under this section. Any other combination scheme made under section five of the Act of 1922, being a scheme any of the parties to which are not such councils as aforesaid, shall as from the appointed day be revoked, and the Secretary of State may give all such directions as he deems necessary for the transfer of the joint superannuation fund and the liabilities thereof, and with respect to other consequential and other incidental matters.

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—cont.

(4) A combination scheme may be amended by a subsequent scheme made by the joint committee concerned and approved by the Secretary of State after consultation with the constituent authorities.

(5) A combination scheme may be revoked by a resolution passed by the joint committee concerned and approved by the Secretary of State after consultation with the constituent authorities, and the Secretary of State may give all such directions as he deems necessary for the transfer of the joint superannuation fund and the liabilities thereof, and with respect to other consequential and incidental matters.

(6) A joint committee established by a combination scheme may sue and be sued in the name of their clerk.

3.—(1) On and after the appointed day all such persons as are mentioned in the next succeeding subsection shall, subject to the provisions of this section and to the provisions of Part III of this Act relating to officers appointed in a temporary capacity, be entitled to participate in the benefits of the appropriate superannuation fund maintained under this Part of this Act, and persons so entitled shall, unless they are such persons as are mentioned in the proviso to subsection (1) of section six of this Act, contribute to that fund in accordance with the provisions of that section. Contributory employees.

In this Act, the expression “ contributory employee ” means a person who is for the time being entitled to participate in the benefits of such a superannuation fund, notwithstanding that he may be such a person as is mentioned in the said proviso.

A.D. 1937. (2) The persons referred to in the preceding sub-
— section are—

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- (a) every whole-time officer of a local authority specified in Part I of the First Schedule to this Act who are not a local Act authority;
- (b) every servant or part-time officer of such a local authority as aforesaid who belongs to a class or description which the authority have by a statutory resolution specified as a class or description the members of, or persons falling within, which are to be contributory employees;
- (c) every officer or servant of a local authority, not being either a local authority specified in Part I of the said First Schedule or a local Act authority, whom the authority have by a statutory resolution specified as a contributory employee;
- (d) every other person who on the appointed day was in the employment of a local authority not being a local Act authority and who immediately before that day held a post in virtue of which he was, or was being treated as being, subject to the Act of 1922, but so long only as he continues without any break of service in the employment of that authority, whether in the same post or in some other post.

(3) A person who becomes a contributory employee under a local authority shall continue to be a contributory employee so long as he continues without any break of service in the employment of that authority, whether in the same post or in some other post.

(4) The following persons shall not become contributory employees by virtue of the foregoing provisions of this section, that is to say, a person who—

- (a) is such a person as is mentioned in Part II of the First Schedule to this Act;
- (b) is under the age of eighteen years; or
- (c) has attained the age of fifty-five years and has not completed, and cannot before attaining the age of compulsory retirement applicable in his case complete, ten years of service.

4.—(1) The appropriate superannuation fund in relation to the contributory employees of an employing authority shall, where that authority are an administering authority, or are a constituent authority under a combination or amalgamation scheme for the time being in force, or were immediately before the appointed day a party to an admission agreement made with an admitting authority, be the fund maintained by the employing authority or, as the case may be, by the joint committee or by the authority who were the admitting authority.

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PART I.

—cont.
Funds to which contributions are payable.

(2) In any case not falling within the preceding subsection, the appropriate superannuation fund in relation to the contributory employees of an employing authority shall be the superannuation fund maintained by the council of the county or large burgh within which the area of the employing authority, or the greater part of the area of that authority, is situate, or, as the case may be, the superannuation fund maintained under the combination or amalgamation scheme to which the council of such county or large burgh are parties :

Provided that, if the council of the county or, as the case may be, of the large burgh are a local Act authority, or if the Secretary of State on an application made to him before the appointed day is satisfied, after consultation with the authorities appearing to him to be concerned, that it is expedient so to do, he may order that the contributory employees of any particular employing authority shall be entitled to participate in the benefits of the superannuation fund maintained by some other administering authority.

(3) If at any time the Secretary of State is satisfied that the number of contributory employees entitled to participate in the benefits of the fund maintained by an administering authority is and is likely to remain below fifty, he may order that those contributory employees shall be entitled to participate in the benefits of the superannuation fund maintained by such other administering authority as he may, after consultation with the authorities appearing to him to be concerned, determine, and the Secretary of State shall include in his order directions for the transfer of the superannuation fund of the first-mentioned authority and such other incidental and consequential directions as he may deem necessary.

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PART I.
—cont.Power to
admit em-
ployees of
statutory
undertakers,
and regis-
tration
officers.

5.—(1) If application for the purpose is made to an administering authority by undertakers exercising any of their powers within the area of the authority under any Act or statutory order, the authority may, on such terms and conditions as they think fit and with the approval of the Secretary of State, admit any employee of the undertakers to participate in the benefits of the superannuation fund maintained by the authority, and, in that event, this Act shall have effect in relation to the undertakers and any employee so admitted as if the undertakers were a local authority and the employee were a contributory employee, and the undertakers shall have all such powers as may be necessary for the purpose of giving effect to the terms and conditions approved by the Secretary of State.

(2) An admission agreement made under paragraph (b) of subsection (3) of section five of the Act of 1922 and in force immediately before the appointed day shall, notwithstanding the repeal of that Act, continue in force as if made under the foregoing subsection, subject, however, to such modifications and adaptations as the parties concerned may, with the approval of the Secretary of State, determine to be necessary for bringing it into accordance with the provisions of this Part of this Act.

(3) In relation to any person who immediately before the appointed day was subject to the Act of 1922 by virtue of such an admission agreement as is mentioned in the last preceding subsection, this Act shall, on and after the appointed day, have effect as if he were a contributory employee.

(4) In the foregoing subsections of this section the expression “undertakers” includes the governing body of a central institution as defined in section thirty-four of the Education (Scotland) Act, 1908, and the managers of an approved school as defined in section one hundred and ten of the Children and Young Persons (Scotland) Act, 1937.

(5) Where a local authority, being a local authority as defined in the Maternity Services (Scotland) Act, 1937, have made arrangements under subsection (1) of section one of that Act with a voluntary association for the employment of certified midwives by that association, the provisions of subsection (1) of this section shall apply in relation to that association and to midwives employed

8 Edw. 7.
c. 63.1 Edw. 8. &
1 Geo. 6.
c. 37.1 Edw. 8. &
1 Geo. 6.
c. 30.

as aforesaid as they apply in relation to statutory undertakers and to employees of those undertakers. A.D. 1937.

(6) A registration officer shall, if the council of the county or large burgh within which the whole or the greater part of the registration area of such officer is situate by statutory resolution so determine, be entitled to participate in the benefits of the appropriate superannuation fund and in that event the provisions of this Act shall have effect in relation to such council and such registration officer as if he were a contributory employee of such council :

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—cont.

Provided that, where the area of any such registration officer is situate within the area of the councils of one or more counties or large burghs, the sums payable by an employing authority in respect of an officer's participation in a superannuation fund shall be paid by such councils in such proportions as they may agree or, failing agreement, as may be determined by the Secretary of State.

(7) No registration officer, who has attained the age of fifty-five years, shall become a contributory employee under this section unless he has completed ten years of service or it is possible for him to complete ten years of service before attaining the age of compulsory retirement applicable in his case.

(8) This Act shall not apply to any registrar of births, deaths and marriages holding office at the appointed day, if within one month after such appointed day he gives notice in writing to the council of the county or large burgh within which the whole or the greater part of his registration area is situate, that he so desires.

6.—(1) Subject to the provisions of this Act, a Contributory employee of an employing authority shall, at such intervals as the administering authority may determine, contribute to the appropriate superannuation fund—

(a) an amount equal to five per cent. of his remuneration under that employing authority, in the case of—

(i) an officer being a designated employee who, without a disqualifying break of service, is at any time a contributory employee ;

(ii) a servant ;

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(b) an amount equal to six per cent. of such remuneration as aforesaid, in the case of an officer not being such an officer as aforesaid :

Provided that a contributory employee who has attained the age of sixty-five years, or who, immediately before becoming such an employee, was by virtue of subsection (3) of section fifteen of the Act of 1922 exempted from liability to contribute under that section, shall not contribute under this subsection.

(2) An employing authority shall contribute to the appropriate superannuation fund in each year a sum (in this Act referred to as "the equivalent contribution") equal in amount to the sum which during the year has been contributed to the fund by the authority's contributory employees, and any sums payable into the fund by the authority by virtue of subsection (1) of section seventeen of this Act, and any sums payable into the fund by the authority, or the share properly attributable to them of any sums payable into the fund, in pursuance of an actuary's certificate given, or a scheme made, under section eighteen of this Act.

(3) An employing authority may deduct from the remuneration payable by them to a contributory employee the contributions payable by him to the appropriate superannuation fund, and, if and so far as deductions are not made from the remuneration of a contributory employee, the appropriate administering authority may recover any contributions payable by him in any court of competent jurisdiction, or may deduct any sum remaining due on account thereof from any payment by way of superannuation allowance.

(4) A contributory employee who receives any part of his remuneration otherwise than from the employing authority shall render to that authority within one month after the first day of each financial half-year a written statement of his receipts in respect of that part of his remuneration during the preceding financial half-year, together with a statutory declaration verifying the correctness of the statement.

(5) If in consequence of his incapacity to continue to discharge efficiently the duties of his post, a contributory employee is transferred to another post at a reduced remuneration, or otherwise suffers a reduction

of remuneration, he shall be entitled to continue to contribute to the superannuation fund the like amount as if his remuneration had not been reduced.

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7.—(1) When a contributory employee attains the age of sixty-five years, he shall cease to hold his employment :

Age of compulsory retirement.

Provided that the employing authority may with his consent extend his service for one year or any less period and so from time to time as they deem expedient.

(2) Notwithstanding anything in the preceding subsection, a contributory employee who had attained the age of sixty-five years before the appointed day, or who attains that age on or within one month after the appointed day, shall not cease by virtue of that subsection to hold his employment until the expiration of that month, and the power of the employing authority under that subsection to extend the service of an employee shall apply also in the case of an employee to whom this subsection applies.

(3) An extension of service under this section shall not entitle an employee to reckon for purposes relating to superannuation any service rendered on or after the day on which he attained the age of sixty-five years or the appointed day, whichever may be the later.

Superannuation allowances, return of contributions and gratuities.

8.—(1) Subject to the provisions of this Act, a contributory employee of an employing authority shall be entitled, on ceasing to be employed by them, to receive an annual superannuation allowance if either—

Eligibility for superannuation allowance, and scale of allowances.

- (a) he has completed ten years' service and is incapable of discharging efficiently the duties of his employment by reason of permanent ill-health or infirmity of mind or body; or
- (b) he has attained the age of sixty years and has completed forty years' service; or
- (c) he has attained the age of sixty-five years and has completed ten years' service.

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—cont.

(2) The superannuation allowance to be made to a contributory employee under this Part of this Act shall be on the following scale, that is to say :—

- (a) in respect of every completed year of contributing service, one sixtieth of his average remuneration ;
- (b) in respect of every year of non-contributing service, one one-hundred-and-twentieth of his average remuneration :

Provided that—

(i) in the case of any particular employee, the employing authority may, on his becoming entitled to a superannuation allowance, resolve that there shall be substituted for the said fraction of one one-hundred-and-twentieth any larger fraction not exceeding one sixtieth ;

(ii) an employee shall be entitled, if he pays a sum or sums calculated in such manner and payable at such time or times as may be prescribed, to receive in respect of any year of non-contributing service a prescribed fraction of his average remuneration larger than one one-hundred-and-twentieth but not exceeding one sixtieth.

(3) No superannuation allowance under this Part of this Act shall exceed two-thirds of the employee's average remuneration.

(4) Every superannuation allowance under this Part of this Act shall be paid out of the appropriate superannuation fund, but any extra charge resulting from any resolution passed by an employing authority under proviso (i) to paragraph (b) of subsection (2) of this section shall be repaid to the fund by that authority.

Payment of any such allowance shall be made at such intervals, not being longer than three months, as the appropriate administering authority may determine.

(5) For the purposes of this section, the average remuneration of a contributory employee means the annual average of the remuneration received by him in respect of service rendered during the five years

immediately preceding the day on which he ceases to hold his employment or the day on which he attains the age of sixty-five years, whichever is the earlier :

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Provided that—

- (a) the average remuneration of an employee who has attained the age of sixty-five years before the appointed day shall be calculated by reference to the five years immediately preceding the appointed day; and
- (b) an employee who on a reduction of his remuneration contributed under subsection (5) of section six of this Act at his former rate, and an employee whose remuneration was reduced or suspended by reason of his absence from duty owing to ill-health or injury, shall be deemed to have received the remuneration which he would have received but for the reduction or suspension; and
- (c) if a contributory employee in the whole-time employment of a single local authority becomes a contributory employee in the part-time employment of each of two or more authorities, then, if his remuneration in his whole-time employment becomes material for the purpose of calculating the superannuation allowance payable to him on his ceasing to hold one of his part-time employments, that remuneration shall for the purposes of the calculation be treated as attributable to those part-time employments and shall be apportioned between them.

(6) For the purposes of subsection (1) of this section, an employee's service shall be calculated by aggregating all periods of service.

(7) For the purposes of subsection (2) of this section—

- (a) an employee's contributing service shall be calculated by aggregating all periods of such service;
- (b) his non-contributing service shall be calculated by deducting from his service, calculated in accordance with the last preceding subsection, all completed years of contributing service; and

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—cont.

(c) if his non-contributing service as so calculated includes a fraction of a year, that fraction shall, if it amounts to or exceeds six months, be treated as a year, and in any other case be disregarded.

Allocation
of part of
superannua-
tion benefits
to wife or
husband.

9.—(1) The Secretary of State may make rules for securing that, in such circumstances and subject to such conditions as to proof of good health and other matters as may be specified in the rules, a contributory employee who becomes entitled to a superannuation allowance under this Part of this Act on his ceasing to hold his employment otherwise than by reason of ill-health shall be allowed to surrender, as from the date on which he so ceases, in return for the benefits of the rules such part, not exceeding one-third, of the allowance as may be specified in the rules, and for enabling the appropriate administering authority to grant to the spouse of the employee a pension of such value as, according to tables to be prepared from time to time by the Government Actuary, is actuarially equivalent, at the said date, to the value of that part of the allowance which is surrendered.

(2) Any such pension as aforesaid shall be payable in respect of the period, if any, for which the spouse survives the employee.

(3) Where an employee takes advantage of the provisions of this section, subsection (4) of the last preceding section shall apply in relation to the reduced allowance and in relation to the pension granted to his spouse as if each of them were a separate superannuation allowance.

Return of
contribu-
tions in cer-
tain cases.

10.—(1) A contributory employee of an employing authority who, before becoming entitled to a superannuation allowance under this Part of this Act, ceases to be employed by that authority for any reason other than his voluntary resignation, or his resignation or dismissal in consequence of an offence of a fraudulent character or in consequence of misconduct or inefficiency, shall be entitled to receive out of the appropriate superannuation fund a sum equal to the aggregate amount of his contributions to the fund, together with compound interest thereon, calculated to the date on which he ceased to hold his employment at the rate of three per cent. per annum with half-yearly rests.

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(2) A contributory employee of an employing authority who, before becoming entitled to a superannuation allowance under this Part of this Act, ceases to be employed by them by reason of his voluntary resignation or his resignation or dismissal in consequence of inefficiency, shall be entitled to receive out of the appropriate superannuation fund a sum equal to the aggregate amount of his contributions to the fund.

(3) If a contributory employee—

(a) dies before becoming entitled to a superannuation allowance under this Part of this Act; or

(b) having become entitled to such a superannuation allowance, dies before he has received by way thereof an amount equal to the aggregate amount of his contributions to the appropriate superannuation fund, together with compound interest thereon calculated to the date on which he ceased to hold his employment at the rate of three per cent. per annum with half-yearly rests;

his legal personal representatives shall be entitled to receive out of the fund, in the first-mentioned case, the aggregate amount of his contributions to the fund, together with compound interest calculated as aforesaid to the date of his death and, in the second-mentioned case, either the said aggregate amount with compound interest as aforesaid calculated to the date on which he ceased to hold his employment, or, if he has received any payment by way of superannuation allowance, the difference between the total amount which he has so received and the said aggregate amount with compound interest as aforesaid :

Provided that, where an employee so dying has become entitled to a superannuation allowance but has surrendered a part thereof in accordance with rules made under the last preceding section, he shall for the purposes of this subsection be deemed to have received by way of superannuation allowance the like amount as he would have received but for the surrender.

(4) Where a contributory employee of an employing authority ceases to be employed by them in consequence of an offence of a fraudulent character, or ceases to hold it

A.D. 1937. in consequence of misconduct and is not entitled to a superannuation allowance under this Part of this Act, the
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 PART I. employing authority may, if they think fit, direct the
 —cont. return to him out of the appropriate superannuation fund of a sum equal to the whole or a part of the aggregate amount of his contributions to the fund, or, if he ceased to be employed in consequence of an offence of a fraudulent character, the payment out of that fund of an equivalent sum to his wife or family.

26 Geo. 5. &
 1 Edw. 8.
 c. 33.

(5) In this section references to the aggregate amount of an employee's contributions to a superannuation fund include references to any contributions paid by him to any superannuation fund under this Part of this Act, or under the Act of 1922, or under a local Act scheme, and any sum paid by him into a superannuation fund under a scheme in force by virtue of subsection (3) of section twenty-eight of the Widows', Orphans' and Old Age Contributory Pensions Act, 1936, or the corresponding provisions of any Act repealed by that Act, and any sum paid by him by way of additional contributory payment, but only in so far as any such contribution or sum has not been returned to him, and is attributable to service which might have been reckoned for the purposes of superannuation allowance in respect of the employment which he has ceased to hold or in which he died, as the case may be.

(6) Notwithstanding anything in the foregoing provisions of this section, no payment shall be made thereunder to an employee of a local authority who leaves their employment in order to enter the employment of another local authority in such circumstances that a transfer value is payable in respect of him under the relevant provisions of Part III of this Act.

(7) An administering authority shall be under no obligation to make any payment under subsection (1) or subsection (2) of this section before the expiration of one year from the date on which the employee in question ceases to be employed or until a claim for payment has been made to them, whichever event first occurs.

Gratuities.

11.—(1) On or after the appointed day a local authority may grant to any employee on his ceasing to be employed by them a gratuity, by way either of a

lump sum or of periodical payments, not exceeding, or not exceeding in the aggregate, an amount equal to twice the amount of the annual emoluments of the employment : A.D. 1937.
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—cont.

Provided that this subsection shall not apply in the case of a contributory employee who is entitled to a superannuation allowance.

(2) If a contributory employee of an employing authority, who has not attained the age of compulsory retirement applicable in his case, ceases to be employed by them in consequence of his being permanently incapacitated by an injury sustained by him in the actual discharge of his duty and without his own default, and specifically attributable to the nature of his duty, the authority may grant to him, subject to such conditions as they think fit, such a gratuity by way either of a lump sum or of periodical payments as they consider reasonable having regard to all the circumstances of the case, including any statutory right to compensation or to a superannuation allowance under this Part of this Act :

Provided that, in the case of a gratuity granted under this subsection by way of periodical payments, an authority shall not in any year pay to the employee in respect of the gratuity any greater sum than would together with any statutory compensation, or superannuation allowance under this Part of this Act, receivable in that year, be equal to the amount of any superannuation allowance which might have been granted to him on his attaining the age of compulsory retirement applicable in his case if he had continued to be a contributory employee of the authority until he attained that age and had continued to be remunerated at the same rate as immediately before the date of his injury.

(3) A gratuity granted under this section shall not be paid out of the superannuation fund.

(4) References in subsection (1) of this section to a local authority and to an employee shall be deemed to include references to the council of a county or large burgh within whose area a registration officer is employed in the performance of duties under the Births, Deaths and Marriages (Scotland) Acts, 1854 to 1934, and to such registration officer.

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Reckoning of service.

PART I.

—cont.

Reckoning
of contri-
buting and
non-
contributing
service,
and service
of persons
indirectly
employed.

12.—(1) A contributory employee shall be entitled to reckon as contributing service, in relation to the employment in respect of which he is a contributory employee,—

- (a) service in respect of which he was required to contribute to the appropriate superannuation fund;
- (b) in the case of a person who became a contributory employee on the appointed day, any service which immediately before that day he was entitled to reckon as contributing service for the purposes of the Act of 1922 in relation to his said employment; and
- (c) any other service which, by virtue of any of the provisions of this Act, or of any regulations made thereunder, is to be reckoned as contributing service :

Provided that, subject to the provisions of this Act, a contributory employee shall not be entitled to reckon as contributing service any service in respect of which he has received a return of contributions under this Act or under the Act of 1922.

(2) A contributory employee shall be entitled to reckon as non-contributing service any service rendered by him to any local authority, or as a registration officer, not in either case being service which he is entitled to reckon as contributing service.

(3) In the case of a contributory employee who left the employment of a local authority in order to serve in His Majesty's forces or forces of the allied or associated powers during the late war, the period during which he so served shall be taken into account for the purposes of the last preceding subsection as if it had been a period of service within the meaning of this Act :

Provided that no such service after the thirty-first day of December, nineteen hundred and twenty, shall be taken into account.

(4) Where a contributory employee had, under subsection (2) of section eight of the Act of 1922, paid before the appointed day part, but not the whole, of a

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PART I.
—cont.

sum in lieu of transfer value, account shall, for the purposes of the foregoing provisions of this section, be taken in the prescribed manner of the service by reference to which that sum was ascertained.

(5) For the purpose of calculating the superannuation allowance of a contributory employee employed whole-time in a single employment who has formerly served as a part-time employee, the period of part-time service shall be treated as though it were whole-time service for a proportionately reduced period.

(6) When a person who has been for a continuous period of not less than three years in the employment of an officer of a local authority, and engaged wholly or mainly in the performance of duties relating to the functions of that authority, enters or has entered the employment of that or any other local authority and is a contributory employee, there shall be taken into account in reckoning his non-contributing service so much, if any, of that period as the first authority under whom he becomes a contributory employee may, within one year from the date on which he becomes such an employee, determine.

13.—(1) Where a contributory employee or a local Act contributor under a local authority ceases to be employed by that authority, but within twelve months after so ceasing becomes a contributory employee under another local authority—

Reckoning of contributing service under two or more local authorities or in case of re-employment by the same authority.

- (a) if the first-mentioned authority are not a local Act authority, he shall be entitled to reckon as contributing service all service which in relation to his employment under them he was entitled to reckon as such immediately before he ceased to be employed by them; and
- (b) in any other case, in computing his contributing service, account shall be taken in such manner as may be prescribed of his previous service:

Provided that an employee shall not be entitled to the benefit of this subsection unless he informs the employing authority within three months of entering upon his employment under them that he has previously served in the employment of another local authority, and pays to the appropriate administering authority an

A.D. 1937. amount equal to any sum which, on his ceasing to serve
 — under that other authority, was paid to him by way of
 PART I. return of contributions, whether with or without interest,
 —cont. under this Part of this Act or the local Act scheme.

(2) Where a contributory employee under a local authority ceases to be employed by them, but within twelve months after so ceasing again becomes such an employee under them, he shall, if he repays any sum which on his so ceasing was paid to him by way of return of contributions under this Part of this Act, whether with or without interest, be entitled to reckon as contributing service the service which he was entitled to reckon as such immediately before he ceased to be employed by them.

Provisions as to special classes of employees.

Holders of
 joint ap-
 pointments.

14. Where one of the holders of a joint appointment under a local authority ceases to hold his appointment and the appointment of the other is thereby determined, then that other, if he is a contributory employee and has either attained the age of fifty years or completed twenty years' service, shall be entitled to receive a superannuation allowance according to the scale laid down by this Part of this Act :

Provided that this section shall not apply in the case where a joint appointment of spouses is determined in consequence of the misconduct of one of them.

Teachers.

15. Notwithstanding anything in the definition of service contained in this Act or in the provisions of this Act relating to the reckoning of service, a contributory employee who, at any time before he became such an employee, was in service within the meaning of the Superannuation Scheme framed in pursuance of the Education (Scotland) (Superannuation) Acts, 1919 to 1937, or any Act amending the same (in this subsection referred to as the Teachers Acts) shall be entitled to reckon such service, if it is service in respect of which contributions were paid under the Teachers Acts, as contributing service, and in any other case as non-contributing service, but the amount receivable by him in any year in respect of superannuation allowance under this Part of this Act shall be reduced by a sum equivalent to the amount, if any, which is receivable by

him in that year by virtue of the Teachers Acts and the said Scheme, or which would have been so receivable by him in that year if any period which, in order to avoid duplicate pensions, has not been reckoned as service for the purpose of calculating his retiring allowance, had been so reckoned :

A.D. 1937.

—
PART I.
—cont.

Provided that—

- (a) any period of such service in respect of which contributions have been repaid under the Teachers Acts and the said Scheme shall, unless such contributions have been subsequently refunded, be treated as a period of service in respect of which contributions were not paid ;
- (b) in computing the reduction to be made under this subsection, account shall be taken in the prescribed manner of any sum paid or payable under the Teachers Acts and the said Scheme which was or is in the nature of a capital payment, or which represents a return of contributions in respect of a period of service which has been reckoned as contributing service in calculating the superannuation allowance payable under this Part of this Act ; and
- (c) if a contributory employee has taken advantage of the provisions of section nine of this Act or of any corresponding provisions applicable in the case of teachers, the provisions of this subsection with respect to the reduction of allowances shall, in relation to him, have effect subject to such modifications as may be prescribed.

16.—(1) In the case of female nurses, midwives and health visitors, being contributory employees, the age of compulsory retirement shall be sixty years instead of sixty-five years and, accordingly, in section seven of this Act, sixty years shall be substituted for sixty-five years, and—

Female
nurses, mid
wives and
health
visitors.

- (a) in the application of this Part of this Act to any such employee in paragraph (b) of subsection (1) of section eight, fifty-five years shall be substituted for sixty years and thirty years for

A.D. 1937.

PART I.

—cont.

forty years, and, in paragraph (c) of the said subsection and throughout subsection (5) of the same section and in the definition of service contained in this Act, sixty years shall be substituted for sixty-five years; and

- (b) in the application of this Part of this Act to any female nurse or health visitor or midwife in paragraph (c) of subsection (4) of section three, fifty years shall be substituted for fifty-five years :

Provided that the foregoing provisions of this subsection shall not apply to any nurse, midwife or health visitor who is employed as such on the appointed day unless within three months thereafter she gives notice in writing to the employing authority that she desires those provisions to apply to her.

(2) If a person to whom the provisions of paragraph (a) of the preceding subsection apply becomes entitled to a superannuation allowance under this Part of this Act on attaining the age of sixty years, and has not then completed forty years' service, the employing authority may grant to her an additional annual compensatory allowance not exceeding the difference between the superannuation allowance to which she is entitled and that to which she would have been entitled if the provisions of the said paragraph had not applied to her and she had remained in the employment of the authority until she attained the age of sixty-five years receiving an annual remuneration equal to the annual average of the remuneration received by her in respect of service rendered during the five years immediately preceding the day on which she attains the age of sixty years.

An additional compensatory allowance granted under this subsection shall not be paid out of the superannuation fund.

(3) In this section the expression "health visitor" means a woman appointed by a local authority as a whole-time employee whose duties include the visiting of women and children in their homes for the purpose of giving advice as to the nurture, care and management of young children and as to the health of expectant and nursing mothers, or the visiting of the homes of persons suffering from tuberculosis or other disease for the purpose of giving advice as to the care and hygiene of

such persons and as to the measures necessary to prevent the spread of infection.

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PART I.

—cont.

Management and valuation of funds.

17.—(1) If immediately before the appointed day a local authority were maintaining a superannuation fund or funds under the Act of 1922, they shall close that fund or those funds and transfer any balance standing to the credit thereof to the superannuation fund to be maintained by them under this Part of this Act, or if no such fund is to be maintained by them, to such fund as the Secretary of State may direct, and any outstanding or continuing liabilities of, or liabilities of any authority or individual to, the former fund or funds shall become liabilities of or to the latter fund.

Management of superannuation fund, use of moneys and investment of surpluses.

(2) There shall be carried and credited in each year to every superannuation fund maintained under this Part of this Act—

- (a) the amounts contributed during the year by the contributory employees entitled to participate in the benefits of the fund;
- (b) the equivalent contributions payable into the fund by employing authorities;
- (c) any equal annual charge or other amount payable into the fund by any employing authority by virtue of the transfer and continuance of liabilities effected by the preceding subsection;
- (d) any amounts payable into the fund in pursuance of an actuary's certificate given or a scheme made under the next succeeding section;
- (e) all dividends and interest arising during the year out of the investment or use of the fund or any part thereof and any capital moneys resulting from the realisation of investments, or from the repayment of moneys used temporarily for other authorised purposes;
- (f) the amount of any transfer values, contributions towards the superannuation allowances of asylum employees, or additional contributory payments, received by the administering authority under this Act; and

A.D. 1937.

PART I.
—cont.

(g) any other sums which the administering authority may become liable to carry to the fund under this Act.

(3) If any moneys forming part of a superannuation fund maintained under this Part of this Act are not for the time being required to meet payments to be made out of the fund under this Act, the administering authority shall invest the moneys in securities in which trustees are authorised to invest, or, in lieu of such investment, may use the moneys for any purpose for which they have a statutory borrowing power, or may lend the moneys to any other employing authority contributing to the fund for use for any purpose for which that authority have a statutory borrowing power, subject to the following conditions, that is to say :—

(a) interest shall be paid to the fund on any moneys so used and for the time being not repaid, at such rate per cent. per annum as may be determined by the administering authority to be equal, as nearly as may be, to the rate of interest which would be payable on a loan raised on mortgage under the statutory borrowing power; and

(b) the statutory borrowing power for the purpose of which the moneys are so used shall be deemed to be exercised by such use as fully in all respects as if a loan of the same amount had been raised in exercise of the power.

Actuary's
certificates
and
periodical
valuation of
superannua-
tion fund.

18.—(1) As soon as may be after the passing of this Act, a local authority who are to be an administering authority and are not maintaining a superannuation fund under the Act of 1922, shall obtain from an actuary a certificate as to the amount necessary to be paid annually into the superannuation fund to be maintained by them under this Part of this Act during a period not exceeding forty years from the appointed day in order that the fund may be solvent, and as to the part, if any, of such amount which is attributable to any other employing authority whose employees are to be contributory employees entitled to participate in the benefits of the fund.

(2) As soon as may be after the appointed day, an administering authority who were maintaining a superannuation fund under the Act of 1922 shall obtain from

A.D. 1937.

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PART I.
—cont.

an actuary a certificate as to the amount, if any, by which any sum payable annually into the superannuation fund maintained by them under this Part of this Act as a result of the transfer and continuance of liabilities effected by subsection (1) of the last preceding section should be increased on account of the burden to be imposed on that fund as from the appointed day by or under the provisions of this Act:

Provided that an administering authority need not take action under this subsection if their fund will under the next succeeding subsection be valued as at some date not later than the fifteenth day of May, nineteen hundred and forty, or if they satisfy the Secretary of State that such action is for any other reason unnecessary.

(3) Every administering authority shall—

(a) if they were maintaining a superannuation fund or funds under the Act of 1922—

(i) upon, or at any time before, the expiration of a period of five years from the end of the financial year comprising the date as at which that fund, or the earliest date as at which any of those funds, was last valued under the Act of 1922; or

(ii) if there has been no such valuation under the Act of 1922, upon, or at any time before, the expiration of a period of five years from the end of the financial year comprising the date on which that fund, or the earliest date on which any of those funds, was established;

(b) if they were not maintaining a superannuation fund under the Act of 1922, upon, or at any time before, the expiration of the financial year ending on the fifteenth day of May, nineteen hundred and forty-four; and

(c) in all cases, upon the expiration of any period of five years from the end of the financial year comprising the date as at which the fund was last valued under this Act;

obtain from an actuary within the prescribed period an actuarial valuation of, and a report on, the assets and liabilities of the fund in such form and containing such information as may be prescribed.

A.D. 1937.

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 PART I.
 —cont.

Every valuation under this subsection shall be a valuation as at the end of a financial year.

(4) An administering authority may at any other time obtain a valuation and report under this section.

(5) An administering authority shall, forthwith upon receipt of any valuation or report under this section, send a copy thereof to the Secretary of State.

(6) Where by any valuation and report under this section a deficiency or a disposable surplus is disclosed, the administering authority shall within three months after receiving the valuation and report make a scheme for making good the deficiency or, as the case may require, for disposing of the surplus.

General.

Allowance
 not assign-
 able.

3 & 4 Geo. 5.
 c. 20.

19. A superannuation allowance or gratuity or a pension to a spouse granted under this Part of this Act shall be payable to, or in trust for, the person to whom it is granted; and every assignation of, or charge on, any such allowance, gratuity or pension shall be void, and no such allowance, gratuity or pension shall on the sequestration of a person entitled thereto or on the appointment of a judicial factor on his estate under section one hundred and sixty-three of the Bankruptcy (Scotland) Act, 1913, pass to the trustee or judicial factor, without prejudice, however, to the making of an Order under section one hundred and forty-eight of the said Act or under any similar enactment in England or Northern Ireland.

Forfeiture
 of rights in
 certain
 cases.

20. A contributory employee who is dismissed or resigns, or otherwise ceases to hold his employment, in consequence of an offence of a fraudulent character or of grave misconduct shall forfeit all claim to any rights under this Part of this Act in respect of his previous service.

Adaptation
 to this Part
 of this Act
 of certain
 provisions
 of local
 Acts and
 schemes.

21.—(1) Where a local Act or statutory order in force in the area of a local authority contains provisions amending, supplementing, modifying or adapting the provisions of the Act of 1922 in its application to that authority, the authority may make a scheme for continuing in force and applying to this Act, with any necessary modifications and adaptations, such of those provisions of the local Act or statutory order as the

authority desire to preserve notwithstanding the repeal by this Act of the Act of 1922. A.D. 1937.

A scheme made by an authority under this subsection shall be submitted to the Secretary of State within six months from the passing of this Act.

PART I.
—cont.

(2) Where a scheme made under section twenty-four of the Act of 1922 (whether by a local authority or by a Joint Electricity Authority by virtue of section thirty-three of the Electricity (Supply) Act, 1926), or under subsection (3) of section twenty-eight of the Widows', Orphans' and Old Age Contributory Pensions Act, 1936, or under the corresponding provisions of any enactment repealed by the last-mentioned Act, contains provisions modifying or adapting the provisions of the Act of 1922 in its application to an authority, the scheme shall continue in force subject to such modifications and adaptations as the authority may, with the approval of the Secretary of State, determine to be necessary for making it applicable to this Act.

16 & 17
Geo. 5. c. 51.
26 Geo. 5. &
1 Edw. 8.
c. 33.

PART II.

SUPERANNUATION OF EMPLOYEES OF LOCAL ACT AUTHORITIES.

22.—(1) A local Act authority shall, not later than twelve months before the appointed day, make a scheme for modifying their local Act scheme so as to secure that on and after the appointed day—

Modification
and replace-
ment of
local Act
superannua-
tion
schemes.

- (a) every whole-time officer of the authority, and every registration officer whom they may by a statutory resolution specify as a contributory employee, shall, subject to the provisions of Part III of this Act relating to officers appointed in a temporary capacity, be entitled to participate in the benefits of their superannuation fund;
- (b) a person who becomes subject to their local Act scheme, after being a contributory employee or local Act contributor under another local authority, shall, in respect of the reckoning of previous service, enjoy, so far as is reasonably practicable, rights substantially similar to those which he would enjoy as a contributory employee of a local authority whose employment he had

A.D. 1937.

PART II.

—cont.

entered after being a contributory employee of another local authority; and

- (c) due provision is made for any consequential or incidental matters :

Provided that the following persons shall not be entitled to the benefit of this subsection, that is to say, a person who—

- (a) is such a person as is mentioned in Part II of the First Schedule to this Act ;
- (b) is under the age of eighteen years or, as the case may be, such other age as is, in accordance with the local Act scheme or the practice of the authority, the minimum age for entry into superannuable service ; or
- (c) has attained such an age that he cannot under the provisions (if any) of the local Act scheme or the practice of the authority, relating to qualifying periods of service and the age of compulsory retirement, become entitled to a superannuation allowance.

(2) A scheme made by an authority under subsection (1) of this section may provide that any provisions of their local Act scheme or any practice of the authority, relating to medical examination of employees or prospective employees, shall (unless the authority otherwise determine) continue to have effect in relation to such persons as are mentioned in paragraph (a) of the said subsection (1).

(3) A local Act authority may, by a statutory resolution, determine to substitute the provisions of Part I of this Act and a superannuation fund maintained thereunder for their local Act scheme, and, if they so determine, shall make a scheme for giving effect to their resolution, and shall include in the scheme such modifications and adaptations of this Act as may be required and such consequential and incidental provisions, including provisions for the transfer of their local Act superannuation fund and the liabilities thereof and for protecting adequately the rights and interests of the various parties interested in the local Act scheme, as they may think necessary.

PART III.

A.D. 1937.

MISCELLANEOUS AND GENERAL PROVISIONS.

23. The provisions of the Second Schedule to this Act shall have effect with respect to such asylum employees as are therein mentioned.

Provisions
as to asylum
employees.

24.—(1) Where a contributory employee or a local Act contributor under a local authority ceases to be employed by them, but within twelve months after so ceasing becomes a contributory employee or a local Act contributor under another local authority, then, unless the superannuation fund concerned is the same in the case of both employments, a transfer value calculated in the prescribed manner shall be payable by the authority maintaining the fund relating to the former employment to the authority maintaining the fund relating to the latter employment.

Payment of
transfer
values.

(2) Such a transfer value as aforesaid shall also be payable, unless only one superannuation fund is concerned, where a contributory employee or a local Act contributor in the whole-time employment of a single local authority ceases to be so employed by them and becomes a contributory employee or local Act contributor in their part-time employment and a contributory employee or local Act contributor in the part-time employment of another local authority.

25.—(1) Where a whole-time officer of a local authority, being an authority specified in Part I of the First Schedule to this Act, has been, on or after or within two years before the appointed day, appointed to a post in their employment in a temporary capacity for a period of not more than two years, then, notwithstanding anything in the foregoing provisions of this Act, but subject to the following provisions of this section, he shall not, by virtue of being a whole-time officer, become a contributory employee or local Act contributor under that authority unless the authority at any time otherwise resolve :

Whole-time
officers
appointed
in a
temporary
capacity.

Provided that nothing in this subsection shall have effect in relation to any employee of an authority who has been in their employment for a period (whether continuous or not) of two years or has been at any time subject to the Act of 1922 or a contributory employee or a local Act contributor.

A.D. 1937.

PART III.
—cont.

(2) Where a whole-time officer of a local authority who, by virtue of the preceding subsection, has not become a contributory employee or local Act contributor has been in the employment of that authority or of any other authority specified in Part I of the First Schedule to this Act for a period (whether continuous or not) of two years, then, on the expiration of that period, if he would, but for the provisions of the preceding subsection, be a contributory employee or local Act contributor under the authority in whose employment he is, he shall, by virtue of this subsection, thereupon become a contributory employee or local Act contributor, as the case may be, under the last-mentioned authority.

(3) If a whole-time officer of a local authority who, by virtue of subsection (1) of this section, has not become a contributory employee or local Act contributor ceases to be employed by them and within twelve months after so ceasing becomes a whole-time officer of another local authority, being an authority specified in Part I of the First Schedule to this Act, then, if at that time or later he becomes, by virtue of the last preceding subsection or otherwise, a contributory employee or local Act contributor under that other local authority, a transfer value calculated in the prescribed manner shall, unless the superannuation fund concerned is the same in the case of both employments, be payable by the authority maintaining the fund relating to the former employment to the authority maintaining the fund relating to the latter employment.

Reduction
of allowance
during re-
employ-
ment and
adjustment
of rights
thereafter.

26.—(1) If a person entitled to a superannuation allowance under Part I of this Act, other than an allowance payable to him in respect of service rendered without a disqualifying break of service as a designated employee and a contributory employee, proposes to accept further employment with any local authority, he shall inform that authority that he is so entitled and, if he enters their employment, shall forthwith give notice in writing that he is so employed to the authority from whom he receives the allowance.

(2) In any such case as aforesaid, the superannuation allowance shall, so long as the employee holds his new employment, be reduced in such manner as may be prescribed, and, if in that employment he is a contributory employee or a local Act contributor, then, on

his ceasing to hold that employment, he shall be entitled, notwithstanding anything in the definition of service contained in this Act or in the provisions of this Act relating to the reckoning of service or, as the case may be, notwithstanding any corresponding definition in, or provisions of, the local Act scheme, to such rights in respect of superannuation benefits as may be prescribed.

A.D. 1937.

PART III.
—cont.

27.—(1) Subsection (3) of section twenty-eight of the Widows', Orphans' and Old Age Contributory Pensions Act, 1936 (which relates to the modification of existing superannuation schemes), shall have effect as if—

Amendment
of 26 Geo. 5.
& 1 Edw. 8.
c. 33.

(a) for the words “after giving persons affected
“by the proposed scheme or their representa-
“tives an opportunity of objecting” there were
substituted the words “after satisfying himself
“that persons affected by the proposed scheme
“or their representatives have had an oppor-
“tunity of objecting”;

(b) after the words “confirm the scheme” there
were inserted the words “either with or without
modifications”; and

(c) at the end of the subsection there were inserted
the following paragraph:—

“A scheme confirmed under the provisions
of this subsection may be revoked or amended
by a subsequent scheme submitted and con-
firmed in like manner as the original scheme.”

(2) For the purposes of the said subsection (3), this
Act shall be deemed to be such a public general Act as
is therein referred to.

28.—(1) As from the appointed day the Local
Government and other Officers' Superannuation Act,
1922, shall, in so far as it applies to Scotland, be repealed.

Repeal and
construc-
tion of
references.
12 & 13
Geo. 5. c. 59.

(2) References in the Local Government and Civil Ser-
vice (Superannuation) Rules, 1936, and the Unemployment
Assistance Board (Superannuation) Rules, 1935, to persons
who are, or to persons who were, subject to the Local
Government and other Officers' Superannuation Act, 1922,
or to that Act as modified by section seven of the Local
Government (Scotland) Act, 1929, shall be construed—

19 & 20
Geo. 5. c. 25.

(a) in the case of references to persons who are so
subject, as references to persons who are con-
tributory employees under Part I of this Act; and

A.D. 1937.

PART III.

—cont.

(b) in the case of references to persons who were so subject, as including references to persons who were contributory employees under Part I of this Act :

52 & 53 Vict.
c. 63.

Provided that nothing in this subsection shall be held to prejudice or affect the general application of section thirty-eight of the Interpretation Act, 1889, with regard to the effect of repeals.

Provisions
as to Joint
Electricity
Authorities.
16 & 17
Geo. 5. c. 51.

29.—(1) Where a Joint Electricity Authority have before the appointed day adopted the provisions of the Act of 1922 by virtue of section thirty-three of the Electricity (Supply) Act, 1926, this Act shall have effect in relation to the Authority as if the Authority were a local authority required to maintain a superannuation fund under Part I of this Act, and in relation to any employee of the Authority (including an employee who had become subject as an officer or servant to the Act of 1922) as if the Authority were a local authority not being either a local authority specified in Part I of the First Schedule to this Act or a local Act authority.

(2) As from the appointed day there shall be substituted for the said section thirty-three, so far as it extends to Scotland, the following section :—

“ 33. A Joint Electricity Authority whose district is situate wholly or partly in Scotland, may (without prejudice to the provisions contained in subsection (2) of section eight of the Electricity (Supply) Act, 1919) adopt the provisions of Part I of the Local Government Superannuation (Scotland) Act, 1937, and, if they do so, that Act shall have effect in relation to the Authority as if they were a local authority required to maintain a superannuation fund under Part I of that Act, and, in relation to any employee of the Authority, as if the Authority were a local authority within the meaning of that Act not being either a local authority specified in Part I of the First Schedule thereto or a local Act authority within the meaning of that Act.”

(3) If, at the date when a Joint Electricity Authority adopt the provisions of Part I of this Act, they have in force a superannuation scheme made under subsection (2) of section eight of the Electricity (Supply) Act, 1919, they shall forthwith make a scheme making such modifications

9 & 10
Geo. 5.
c. 100.

and adaptations of this Act in its application to them and to their employees, and containing such consequential and incidental provisions, including provisions for the transfer of their existing superannuation fund and the liabilities thereof, and for protecting adequately the rights and interests of persons interested in the original scheme, as they think necessary.

A.D. 1937.

PART III.
—cont.

30. Any question concerning the rights or liabilities of an employee of a local authority or of a person claiming to be treated as such an employee under any of the provisions of Part I or this Part of this Act, or any regulations made under this Act, shall be decided in the first instance by the authority concerned, and if the employee is dissatisfied with any such decision, or with the authority's failure to come to a decision, shall be determined by the Secretary of State, whose determination shall be final:

Determina-
tion of
questions,
and appeals
to the
Secretary of
State.

Provided that the Secretary of State may at any stage of the proceedings on the reference to him, and shall, if so directed by the Court of Session, state in the form of a special case for the opinion of the Court of Session any question of law arising in those proceedings.

31.—(1) A scheme made under this Act shall be of no effect unless it has been approved by the Secretary of State and the Secretary of State may approve any such scheme either with or without modifications. Before approving any such scheme, the Secretary of State shall consult with such organisations as are, in his opinion, representative of the interests concerned.

Schemes,
rules and
regulations.

(2) Where any such scheme is so approved, this Act and any other Act affected by the scheme shall have effect subject to the provisions of the scheme.

(3) The Secretary of State may extend the time within which any scheme under this Act may be or is to be made or submitted.

(4) If a local authority or other body required by this Act to make a scheme fail to make and submit to the Secretary of State a scheme satisfactory to him within six months from the time when the requirement takes effect, or within such further period as the Secretary of State may allow, the Secretary of State may himself make a scheme, and a scheme so made by him shall

A.D. 1937. have effect as if it were a scheme made by the authority or other body concerned and approved by him.

PART III.
—cont.

(5) Subject to the provisions of this Act, a scheme made under this Act may be amended by a subsequent scheme :

Provided that, if the original scheme was made by the Secretary of State, it may be amended either by a scheme made by him or by a scheme made by the authority or other body concerned and approved by him.

(6) The Secretary of State may make regulations for prescribing anything which under this Act is to be prescribed, and with respect to such administrative action to be taken by local authorities as is mentioned in the Third Schedule to this Act.

(7) Any scheme approved, and any regulation, rule or scheme made, by the Secretary of State under this Act shall be laid forthwith before each House of Parliament for a period of thirty days during the Session of Parliament and, if an address is presented to His Majesty by either House before the expiration of that period praying that the scheme, regulation or rule may be annulled, it shall thenceforth be void, but without prejudice to the validity of anything previously done thereunder, or to the making of a new scheme, regulation or rule :

Provided that, in reckoning any such period of thirty days as aforesaid, no account shall be taken of any time during which both Houses are adjourned for more than four days.

Saving for certain provisions relating to compensation for loss of office.
16 & 17
Geo. 5. c. 47.

32. Nothing in this Act shall affect the operation of paragraph 7 of the Second Schedule to the Rating (Scotland) Act, 1926, or of the said paragraph 7 as applied by section seven of the Local Government (Scotland) Act, 1929, or of any corresponding provisions in any other Act, whether public, general or local, or in any statutory order or scheme.

Transitional provisions.

33.—(1) The provisions of sections thirteen and twenty-four of this Act, with respect to contributory employees who cease to hold their employment under a local authority but become contributory employees under another local authority, or again become such employees under the same authority, shall also have effect in the case of a designated employee who ceased before the

appointed day to be subject to the Act of 1922 but, on or after the appointed day and within twelve months after so ceasing, becomes a contributory employee. A.D. 1937.
—
PART III.
—cont.

(2) In the case of any such designated employee as aforesaid references in any of the said provisions to contributions returned under Part I of this Act, and to service which may be reckoned as contributing service under that Part, shall be construed as including references to contributions returned under the Act of 1922 and service which might be reckoned as contributing service under that Act.

(3) If in calculating the amount of a superannuation allowance to be granted to a contributory employee, being also a designated employee, it is necessary to take account of his remuneration in respect of any period of service rendered before the appointed day, his remuneration in respect of that period shall not be taken to be less than the amount of the remuneration by reference to which he contributed in respect of that period to a superannuation fund maintained under the Act of 1922.

34.—(1) In this Act, unless the context otherwise requires— Interpretation.

“ Act ” includes a local Act;

“ Act of 1922 ” means the Local Government and other Officers’ Superannuation Act, 1922; 12 & 13 Geo. 5. c. 59.

“ actuary ” means a Fellow of the Institute of Actuaries or of the Faculty of Actuaries in Scotland;

“ additional contributory payment ” means a payment or repayment made either under this Act, or under the Act of 1922 or under a local Act scheme, as a condition of being entitled to reckon any service, either as service generally or as service of a particular character or a payment made for the purposes of proviso (ii) to paragraph (b) of subsection (2) of section eight of this Act;

“ administering authority ” has the meaning assigned to it by section one of this Act;

“ admission agreement ” means an agreement made under subsection (3) of section five of the Act of 1922;

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PART III.

—cont.

- “admitting authority” means the local authority who under an admission agreement have admitted employees of another employing authority to participate in the benefits of the superannuation fund maintained by the first-mentioned authority;
- “amalgamation scheme” means a scheme made under subsection (3) of section one of this Act;
- “appointed day” means the sixteenth day of May, nineteen hundred and thirty-nine;
- “asylum employee” means such a person as is mentioned in paragraph 2 of the Second Schedule to this Act;
- “combination scheme” means a scheme of combination under subsections (1) and (2) of section five of the Act of 1922 or under section two of this Act;
- “contributing service” in relation to any person means service which he is entitled to reckon as contributing service in accordance with the provisions of section twelve of this Act;
- “contributory employee” has the meaning assigned to it by section three of this Act;
- “designated employee” means a person who before the appointed day had been, or had been treated by a local authority as being, an officer or servant to whom the Act of 1922 applied;
- “disqualifying break of service” in relation to any person means a continuous period of twelve months or longer, during no part of which he was a contributory employee or a local Act contributor, or subject to the Act of 1922;
- “employee” means an employee whether permanent or temporary, but does not include a person whose employment is of a casual nature;
- “employment” includes office;
- “employing authority” has the meaning assigned to it by section one of this Act;
- “equivalent contribution” has the meaning assigned to it by section six of this Act;

- “joint county council” means a joint county council formed in pursuance of section ten of the Local Government (Scotland) Act, 1929; A.D. 1937.
—
PART III.
—cont.
- “large burgh” has the meaning assigned to it by the Local Government (Scotland) Act, 1929;
- “local Act” includes a provisional order confirmed by Parliament;
- “local Act authority” has the meaning assigned to it by section one of this Act;
- “local Act contributor” means a person in the employment of a local Act authority who on or after the appointed day is entitled to participate in the benefits of a superannuation fund maintained under a local Act scheme;
- “local Act scheme” has the meaning assigned to it by section one of this Act;
- “local authority” means any county council, town council, or district council, or any other authority within the meaning of the Local Authorities Loans (Scotland) Act, 1891, and includes a joint committee established by a combination or amalgamation scheme, and any joint board or joint committee which is appointed under any enactment, order or scheme, and of which all the constituent authorities are such local authorities as aforesaid; 54 & 55 Vict. c. 34.
- “non-contributing service” in relation to any person means service which he is entitled to reckon as non-contributing service in accordance with the provisions of section twelve of this Act;
- “officer” means an employee as to whom either of the following conditions is satisfied, that is to say:—
- (a) that his duties are wholly or mainly administrative, professional or clerical; or
 - (b) that his remuneration is at a rate greater than two hundred and fifty pounds per annum and that he is not an employed contributor within the meaning of the National Health Insurance Act, 1936; 26 Geo. 5. & 1 Edw. 8. c. 32.
- “part-time officer” means an officer other than a whole-time officer;

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PART III.

—cont.

- “prescribed” means prescribed by regulations made by the Secretary of State;
- “registration officer” means registrar or assistant registrar of births, deaths and marriages, or any officer employed in the performance of duties under the Births, Deaths and Marriages (Scotland) Acts, 1854 to 1934;
- “remuneration” means all salary, wages, fees, poundage and other payments paid or made to an employee as such for his own use, and includes the money value of any apartments, rations or other allowances in kind appertaining to his employment, but does not include payments for overtime, or any allowance paid to him to cover cost of office accommodation or clerks’ assistance, or any travelling or subsistence allowance or other moneys to be spent, or to cover expenses incurred by him, for the purposes of his employment;
- “servant” means an employee who is not an officer;
- “service” means service rendered to any local authority after attaining the age of eighteen years and before attaining the age of sixty-five years, and includes, in the case of a contributory employee who first became subject to provision for superannuation on the appointed day and had then attained the age of sixty-five years, service rendered after attaining that age and before the appointed day, but does not include service in any employment if the person in question has already become entitled in respect of that service in that employment to a superannuation allowance under this or any other Act;
- “small burgh” has the meaning assigned to it by the Local Government (Scotland) Act, 1929;
- “statutory order” means an order, rule, or regulation made under an enactment;
- “statutory resolution” means, in relation to a local authority, a resolution passed in the manner in which an ordinary resolution of the authority may be passed, except that twenty-eight days’ notice of the meeting at which the resolution is

passed, and of the terms of the resolution and of the fact that it is to be proposed at that meeting, must have been given in the manner in which notice for convening ordinary meetings of the authority may be given;

A.D. 1937.

PART III.
—cont.

“whole-time officer” means, in relation to any local authority, an officer who devotes substantially the whole of his time to their employment, and includes an officer who is employed by them for a part only of his time but devotes substantially the whole of the rest of his time to employment by one or more other local authorities.

(2) Where an employee holds under a local authority two or more separate employments of such a nature that he can cease to hold one without ceasing to hold the other or others, the provisions of this Act shall, unless the context otherwise requires, apply as respects him in relation to each of those separate employments as if the other or others were an employment or employments held by him under another authority.

35.—(1) This Act shall not apply to any county or town clerk who shall be fifty-five years of age or more at the appointed day if he gives notice to the council not later than the appointed day that he so desires.

Saving for certain county and town clerks.

(2) This Act shall not apply to the town clerk of any royal burgh if he gives notice to the council, in the case of a town clerk holding office at the appointed day, not later than the appointed day, or in the case of a town clerk appointed to that office after the appointed day, within one month after the date of such appointment, that he so desires.

36.—(1) If the Secretary of State and the Minister of Health are satisfied that the provisions of any Act for the time being in force in England with respect to the superannuation of employees of local authorities are substantially similar to the provisions of this Act, they may make regulations with respect to the rights and liabilities of a person who leaves the employment of a local authority within the meaning of the English Act and enters the employment of a local authority within the meaning of this Act, or leaves the employment of a local authority within the meaning of this Act and enters

Reciprocal arrangements between Scotland and England.

A.D. 1937. the employment of a local authority within the meaning
— of the English Act, and with respect to the rights and
PART III. liabilities of the local authorities concerned.
—*cont.*

(2) The provisions of subsection (7) of section thirty-one of this Act shall apply in relation to regulations made under this section as they apply in relation to regulations made by the Secretary of State.

Short title and extent. **37.**—(1) This Act may be cited as the Local Government Superannuation (Scotland) Act, 1937.

(2) Section thirty-six of this Act shall extend to England but, save as aforesaid, this Act shall extend to Scotland only.

SCHEDULES.

A.D. 1937.

FIRST SCHEDULE.

Sections 1, 3,
22, 25, 29.

PART I.

LOCAL AUTHORITIES WHOSE WHOLE-TIME OFFICERS ARE
TO BE COMPULSORILY SUPERANNUABLE.

A county council, joint county council, town council or district council.

A joint board or joint committee appointed under any enactment, order, or scheme, all the constituent authorities of which are such councils as aforesaid.

A joint committee established by a combination or amalgamation scheme.

A committee appointed for the purposes of the Public Libraries (Scotland) Acts, 1887 to 1920.

Any other local authority as respects whom the Act of 1922 was in operation immediately before the appointed day.

PART II.

EMPLOYEES NOT BECOMING CONTRIBUTORY EMPLOYEES.

1. Any person who is an established officer or servant within the meaning of the Asylum Officers' Superannuation Act, 1909, as extended by any subsequent enactment. 9 Edw. 7. c. 48.

2. A person who is a professional fireman within the meaning of the Fire Brigade Pensions Act, 1925, whether or not the provisions of that Act have effect in relation to him. 15 & 16 Geo. 5. c. 49.

3. A person who is in service within the meaning of the Superannuation Scheme framed in pursuance of the Education (Scotland) (Superannuation) Acts, 1919 to 1937, or any Act amending the same.

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SECOND SCHEDULE.

Sections 23,
34.

PROVISIONS AS TO ASYLUM EMPLOYEES.

1. In this Schedule the expression "the Act of 1909" means the Asylum Officers' Superannuation Act, 1909, as extended by any subsequent enactment.

2.—(1) Where an asylum employee, being an established officer or servant within the meaning of the Asylum Officers' Superannuation Act, 1909, ceases to be employed as such or so ceased before the appointed day, but on or after the appointed day and within twelve months after so ceasing becomes a contributory employee or a local Act contributor under the same or another local authority—

- (a) account shall be taken in the prescribed manner of his previous service as an officer or servant employed in a permanent capacity within the meaning of the Act of 1909 and of any other previous service with any local authority;
- (b) if he becomes entitled to receive a superannuation allowance under Part I of this Act or under the local Act scheme, the body by which he was employed as an asylum employee shall, out of the fund out of which his remuneration was paid, contribute annually to the superannuation fund maintained by the appropriate administering authority or the local Act authority, as the case may be, a sum calculated in such manner as may be prescribed by way of contribution towards the allowance, and that body shall have the like right of contribution, if any, under the proviso to section twelve of the Act of 1909 as if that sum constituted a payment by way of superannuation allowance awarded by that body to the employee; and
- (c) if he becomes entitled to a return of contributions under Part I of this Act or under the local Act scheme, he shall be entitled to receive from the bodies concerned the aggregate amount of his contributions under the said Act of 1909.

(2) If an employee mentioned in the preceding sub-paragraph has received a return of contributions under the Act of 1909, then, unless he repays those contributions, the preceding sub-

paragraph shall not apply in relation to him and, notwithstanding anything in the definition of service contained in this Act, he shall not be entitled to reckon for the purposes of Part I of this Act any service rendered by him as an officer or servant employed in a permanent capacity within the meaning of the Act of 1909.

A.D. 1937.

—
2ND SCH.
—cont.

3.—(1) The following provisions of this paragraph apply in relation to—

- (a) a contributory employee or local Act contributor under a local authority who ceases to be employed as such by them; or
- (b) a designated employee who had ceased before the appointed day to be subject to the Act of 1922;

but on or after the appointed day, and within twelve months after so ceasing, becomes an established officer or servant within the meaning of the Act of 1909 as an asylum employee.

(2) If a person mentioned in the preceding sub-paragraph repays any sum paid to him by way of return of contributions, whether with or without interest, under Part I of this Act or under the local Act scheme or under the Act of 1922—

- (a) account shall be taken for the purposes of the Act of 1909 in the prescribed manner of his previous service with any local authority;
- (b) the administering authority appropriate in relation to the authority whose employment he ceased to hold, or the local Act authority, as the case may be, shall pay out of their superannuation fund to the body under which he becomes an asylum employee a transfer value ascertained in the prescribed manner; and
- (c) if he becomes entitled to a return of contributions under the Act of 1909, there shall be included in the aggregate amount of his contributions under that Act so much of the said transfer value as represents contributions or additional contributory payments paid or made by him under Part I of this Act or under the local Act scheme or under the Act of 1922.

4. Where the fund out of which the remuneration of an asylum employee was or is paid by the body under which he was or becomes such an employee is not the fund out of which superannuation allowances are paid to such employees, the foregoing provisions of this Schedule shall have effect subject to such modifications as may be prescribed.

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THIRD SCHEDULE.

**Section 31(6). ADMINISTRATIVE ACTION OF LOCAL AUTHORITIES AS
RESPECTS WHICH REGULATIONS MAY BE MADE.**

1. For determining which of their employees will on the appointed day become contributory employees or local Act contributors, for making returns for the purposes of subsection (1) of section one of this Act, and for notifying to their existing employees and to employees subsequently appointed or promoted whether they become contributory employees or local Act contributors.

2. For ascertaining which of their employees are officers and which are servants, and what rate of contribution is applicable in the case of any particular employee.

3. For ascertaining and recording for the purposes of this Act the service which any person who on the appointed day is, or who at any subsequent date becomes, a contributory employee or a local Act contributor is entitled to reckon and the class of service into which it falls.

4. For securing early decisions upon any questions which may fall to be determined affecting the rights or liabilities of any employee.

5. For regulating the relations and financial arrangements between an administering authority and any other local authority interested in the superannuation fund maintained by the administering authority.

6. For the exchange of information in advance of the appointed day, and thereafter from time to time, between local authorities with regard to the matters aforesaid.

7. For transmitting to any other local authority, whose employment a contributory employee, or a local Act contributor enters, particulars as to his past service and rates of remuneration the contributions paid by him and any sum paid by way of return of contributions.

8. Generally, for the purpose of carrying into effect the provisions of this Act.

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